years of age.

The year was 1991, and the real estate market in Phoenix was terrible. People were giving houses away. I suggested to my classmate that he buy a house with some of the money in his mutual fund. The idea intrigued him and we began to discuss the possibility. His primary concern was that he did not have the credit with the bank to buy another house, since he was so over-extended. I assured him that there were other ways to finance a property other than through the bank.

We looked for a house for two weeks, a house that would fit all the criteria we were looking for. There were a lot to choose from, so the shopping was kind of fun. Finally, we found a 3 bedroom 2 bath home in a prime neighborhood. The owner had been downsized and needed to sell that day because he and his family were moving to California where another job waited.

He wanted $102,000, but we offered only $79,000. He took it immediately. The home had on it what is called a non-qualifying loan, which means even a bum without a job could buy it without a banker's approval. The owner owed $72,000 so all my friend had to come up with was $7,000, the difference in price between what was owed and what it sold for. As soon as the owner moved, my friend put the house up for rent. After all expenses were paid, including the mortgage, he put about $125 in his pocket each month.

His plan was to keep the house for 12 years and let the mortgage get paid down faster, by applying the extra $125 to the principle each month. We figured that in 12 years, a large portion of the mortgage would be paid off and he could possibly be clearing $800 a month by the time his first child went to college. He could also sell the house if it had appreciated in value.

In 1994, the real estate market suddenly changed in Phoenix and he was offered $156,000 for the same house by the tenant who lived in it and loved it. Again, he asked me what I thought, and I naturally said sell, on a 1031 tax-deferred exchange.

Suddenly, he had nearly $80,000 to operate with. I called another friend in Austin, Texas who then moved this tax deferred money into a mini-storage facility. Within three months, he began receiving checks for a little less than a $1,000 a month in income which he then poured back into the college mutual fund that was now building much faster. In 1996, the mini-warehouse sold and he received a check for nearly $330,000 as proceeds from the sale which was again rolled into a new project that would now throw off over $3,000 a month in income, again, going into the college mutual fund. He is now very confident that his goal of $400,000 will be met easily, and it only took $7,000 to start and a little